

Outlook

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The rejection code may be doing too much work

Morning,

I need help with something that sounds simple but probably is not.

Credit Risk needs to know whether recorded decline reasons are consistent with affordability, documentation and workflow evidence. The operating teams agree that more journeys are failing; they disagree on whether the customer, the bank or a downstream party owns the failure.

The questions I would ask in the room are:

1. What would we expect to see if channel differences indicate process inconsistency?
2. What evidence would instead support that decline codes align with application facts?
3. How do we rule out that generic reasons are masking multiple causes?

We looked at a version of this before. For the May 2020 review, please show what changed and whether the earlier conclusion still holds. Please work towards which policy rules, reason codes or quality checks need revision. A useful output would be a control view with the exceptions, owner and reason each item was included.

Use the latest closed loan files available by the request date, including affordability, pricing and origination risk fields; monthly customer and KYC snapshots; monthly account snapshots, status events, limits, product enrolments and signatories. One caution: The separate rejected-account file and loan decisions represent different processes; do not merge them without a defined key and business rule.

Regards